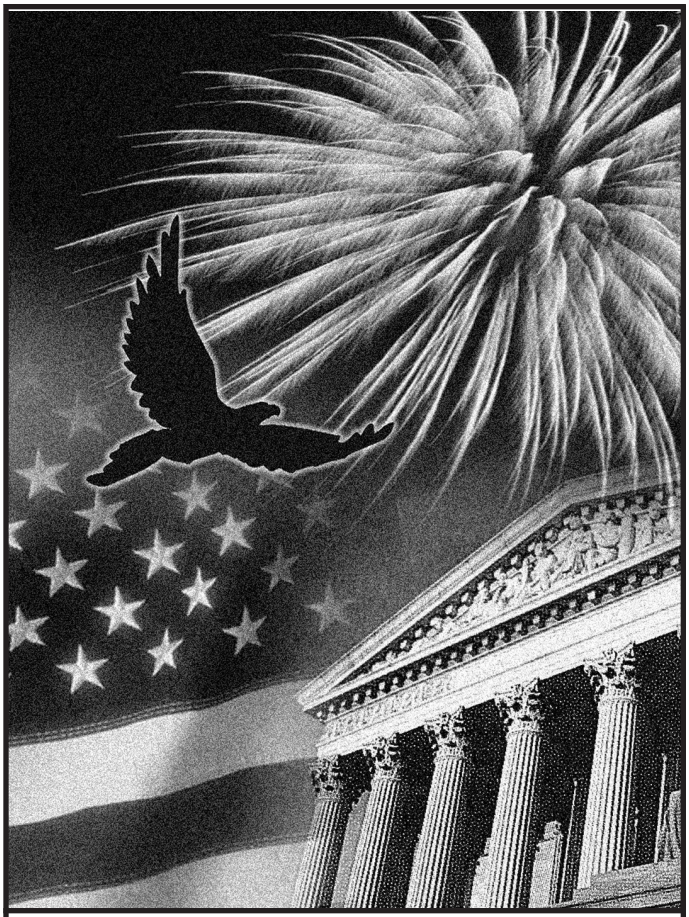
IRS

Publication 15

(Circular E), Employer's Tax Guide

For use in **2026**



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Future Developments

For the latest information about developments related to Pub. 15, such as legislation enacted after it was published, go to *IRS.gov/Pub15*.

What's New

Social security and Medicare taxes for 2026. The rate of social security tax on taxable wages is 6.2% each for

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the employer and employee. The social security wage base limit is $184,500.

The Medicare tax rate is 1.45% each for the employee and employer, unchanged from 2025. There is no wage base limit for Medicare tax.

Social security and Medicare taxes apply to the wages of household workers you pay $3,000 or more in cash wages in 2026. Social security and Medicare taxes apply to election workers who are paid $2,500 or more in cash or an equivalent form of compensation in 2026.

Permanent extension of individual tax rates. P.L. 119-21, commonly known as the One Big Beautiful Bill Act, permanently extends the individual income tax rates enacted by the Tax Cuts and Jobs Act (P.L. 115-97). Employers will continue to use Pub. 15-T, Federal Income Tax Withholding Methods, to figure federal income tax withholding.

Withholding on supplemental wages. The withholding rate on supplemental wages remains 22% (37% if supplemental wages paid to an employee during the calendar year exceed $1 million) because P.L. 119-21 permanently extended the individual tax rates enacted in P.L. 115-97. See section 7 for more information about supplemental wages.

Backup withholding. The backup withholding rate remains 24% because P.L. 119-21 permanently extended the individual tax rates enacted in P.L. 115-97. For reportable payments made under section 6041(a) or 6041A(a) that are made in calendar year 2026 and subject to backup withholding, P.L. 119-21 increases the aggregate reportable payment threshold from $600 to $2,000. This threshold will be adjusted for inflation for each calendar year after 2026. For more information on backup withholding, see *Backup withholding*, later.

Information reporting threshold increased for certain payments. For payments made after calendar year 2025, P.L. 119-21 increases the information reporting (for example, Forms 1099-MISC and Forms 1099-NEC) payment threshold from $600 to $2,000 in a calendar year for certain payments to persons engaged in a trade or business and payments for services. The threshold also increases to $2,000 for wage reporting (Forms W-2, Wage and Tax Statement) if no federal income, social security, or Medicare tax was withheld. This threshold will be adjusted for inflation for each calendar year after 2026. For more information, see the General Instructions for Forms W-2 and W-3 and the General Instructions for Certain Information Returns.

Withholding on qualified tips. For tax years beginning after 2024 and ending before 2029, P.L. 119-21 allows employees and self-employed individuals to deduct up to $25,000 of qualified tips received in occupations that customarily and regularly received tips on or before December 31, 2024, on their income tax returns. Qualified tips are cash tips, which include voluntary cash or charged tips received from customers or, in the case of employees, through tip-sharing arrangements. Mandatory service charges added to the bill are not qualified tips. Employers must use an employee's updated Form W-4, Employee's Withholding Certificate, if one is submitted by the employee, and the federal income tax withholding procedures in Pub. 15-T to allow the employee to account for their expected deduction and receive more money in each paycheck instead of waiting until filing their income tax return to receive the full benefit of this deduction. Tips are still generally subject to both the employer share and employee share of social security tax and Medicare tax if the tips received are $20 or more per month.

Employers and other payers must file information returns (for example, Forms W-2, 1099-MISC, and 1099-NEC) with the Social Security Administration (SSA) or IRS, as applicable, and furnish statements to tip recipients showing cash tips received and the Treasury Tipped Occupation Code(s) of the tip recipient. However, the IRS has provided transition relief to employers and payers for the tax year 2025 reporting requirements. For more information, see Notice 2025-62, 2025-48 I.R.B. 740, available at *IRS.gov/irb/2025-48_IRB#NOT-2025-62*.

Withholding on qualified overtime compensation. For tax years beginning after 2024 and ending before 2029, P.L. 119-21 allows individuals (employees and other workers not treated as employees) to deduct up to $12,500 ($25,000 if married filing jointly) of qualified overtime compensation from their income subject to federal income tax on their income tax returns. Qualified overtime is compensation that exceeds the regular rate of pay (such as the "half" portion of time-and-a-half compensation) that is required to be paid to an individual under section 7 of the Fair Labor Standards Act (FLSA) of 1938. The FLSA provides that employers must generally pay covered, nonexempt employees at least one-and-a-half times their regular rate of pay for hours worked over 40 hours per week. For more information about overtime compensation, go to *dol.gov/agencies/whd/overtime*. Employers must use an employee's updated Form W-4, if one is submitted by the employee, and the federal income tax withholding procedures in Pub. 15-T to allow the employee to account for their expected deduction and receive more money in each paycheck instead of waiting until filing their income tax return to receive the full benefit of this deduction. Overtime compensation is still generally subject to both the employer share and employee share of social security tax and Medicare tax.

Employers and other payers must file information returns (for example, Forms W-2, 1099-MISC, and 1099-NEC) with the SSA or IRS, as applicable, and furnish statements to overtime recipients showing qualified overtime compensation paid during the year. However, the IRS has provided transition relief to employers and payers for the tax year 2025 reporting requirements. For more information, see *Notice 2025-62*.

Moving expense reimbursement. P.L. 119-21 permanently eliminates the exclusion for qualified moving expense reimbursements from your employee's income. However, the exclusion is available in the case of a member of the U.S. Armed Forces on active duty who moves because of a permanent change of station due to a military order. The exclusion applies only to reimbursement of moving expenses that the member could deduct if they had paid or incurred them without reimbursement. See

Moving Expenses in Pub. 3, Armed Forces' Tax Guide, for the definition of what constitutes a permanent change of station and to learn which moving expenses are deductible.

P.L. 119-21 also makes the exclusion available to an employee or new appointee of the intelligence community (as defined in section 3 of the National Security Act of 1947 (50 U.S.C. 3003)) (other than a member of the Armed Forces of the United States) who moves pursuant to a change in assignment which requires relocation. The exclusion applies only to reimbursement of moving expenses that an intelligence community employee or appointee could deduct if they had paid or incurred them without reimbursement.

Employer contributions to Trump accounts. P.L. 119-21 allows for a new type of traditional individual retirement account to be established for a child who has not attained age 18 at the end of year the account is established, known as a Trump account. This account has an annual contribution limit of $5,000 (other than exempt contributions), which will be indexed for inflation after tax year 2027. Beginning July 4, 2026, employers may contribute up to $2,500 a year, which will be indexed for inflation after tax year 2027, toward the $5,000 contribution limit to the Trump account of an employee or of a dependent of an employee, and the amount will be excluded from the gross income of the employee if paid pursuant to a Trump account contribution program. For more information about employer contributions to Trump accounts, see Pub. 15-A, Employer's Supplemental Tax Guide.

Direct deposit of employment tax refunds now available. *Executive Order (EO) 14247*, Modernizing Payments To and From America's Bank Account, issued on March 25, 2025, promotes operational efficiency by mandating the transition to electronic payments for all federal disbursements. Accordingly, the IRS will now issue employment tax return refunds by direct deposit. Direct deposit is a fast, simple, safe, and secure way to have your refund deposited automatically to your checking or savings account. Instead of a direct deposit refund, you can still choose to have your overpayment applied to your next return by checking the appropriate box on your employment tax return. For more information, see the instructions for your employment tax return.

Make balance due payments electronically. *EO 14247* also promotes operational efficiency by mandating the transition to electronic payments for all payments made to the federal government. Therefore, pay your balance due on your employment tax return electronically. There are several easy, safe, and secure ways to pay your balance due electronically. For more information, see the instructions for your employment tax return.

Employment tax return transcripts are now available electronically. You can now access Form 940, Form 941, Form 943, Form 944, and Form 945 return transcripts for tax years 2023 and later using your IRS business tax account. For more information, go to *IRS.gov/BusinessTranscript*. To access your IRS business tax account, go to *IRS.gov/BusinessAccount*.

Reminders

Electronic filing of amended employment tax returns. You can file an amended Form 940, Employer's Annual Federal Unemployment (FUTA) Tax Return; Form 941-X, Adjusted Employer's QUARTERLY Federal Tax Return or Claim for Refund; Form 943-X, Adjusted Employer's Annual Federal Tax Return for Agricultural Employees or Claim for Refund; and Form 945-X, Adjusted Annual Return of Withheld Income Tax or Claim for Refund, electronically using Modernized e-File (MeF). At this time, MeF can't be used to file Form 944-X, Adjusted Employer's ANNUAL Federal Tax Return or Claim for Refund; or Form CT-1 X, Adjusted Employer's Annual Railroad Retirement Tax Return or Claim for Refund. For more information on electronic filing, go to *IRS.gov/EmploymentEfile*.

Pub. 15 is for all employers. Pub. 15 is used by all employers, including agricultural employers and employers in the U.S. territories. Pub. 51, Agricultural Employer's Tax Guide; Pub. 80, Federal Tax Guide for Employers in the U.S. Virgin Islands, Guam, American Samoa, and the Commonwealth of the Northern Mariana Islands; and Pub. 179, Guía Contributiva Federal para Patronos Puertorriqueños, have been discontinued. If you prefer Pub. 15 in Spanish, see Pub. 15 (sp).

Unless otherwise noted, references throughout this publication to Form W-2 include Forms W-2AS, W-2CM, W-2GU, W-2VI, and Form 499R-2/W-2PR; references to Form W-2c include Form 499R-2c/W-2cPR; references to Form W-3 include Form W-3SS and Form W-3 (PR); and references to Form W-3c include Form W-3C (PR).

The COVID-19 related credit for qualified sick and family leave wages is limited to leave taken after March 31, 2020, and before October 1, 2021, and may no longer be claimed on Form 941, Form 943, or Form 944. Generally, the credit for qualified sick and family leave wages, as enacted under the Families First Coronavirus Response Act (FFCRA) and amended and extended by the COVID-related Tax Relief Act of 2020, for leave taken after March 31, 2020, and before April 1, 2021, and the credit for qualified sick and family leave wages under sections 3131, 3132, and 3133 of the Internal Revenue Code, as enacted under the American Rescue Plan Act of 2021 (the ARP), for leave taken after March 31, 2021, and before October 1, 2021, have expired. However, employers that pay qualified sick and family leave wages in 2024, 2025, or 2026 for leave taken after March 31, 2020, and before October 1, 2021, are eligible to claim a credit for qualified sick and family leave wages in 2024, 2025, or 2026. Effective for tax periods beginning after 2023, the lines used to claim the credit for qualified sick and family leave wages have been removed from Form 941, Employer's QUARTERLY Federal Tax Return; Form 943, Employer's Annual Tax Return for Agricultural Employees; and Form 944, Employer's ANNUAL Federal Tax Return, because it would be extremely rare for an employer to pay wages after 2023 for qualified sick and family leave taken after March 31, 2020, and before October 1, 2021. Instead, if you're eligible to claim the credit for qualified sick and family leave wages because you paid the wages after

2023 for an earlier applicable leave period, file Form 941-X, Form 943-X, or Form 944-X to claim the credit for qualified sick and family leave wages paid that year. Filing a Form 941-X, Form 943-X, or Form 944-X before filing a Form 941 for the quarter, or Form 943 or Form 944 for the year, may result in errors or delays in processing your Form 941-X, Form 943-X, or Form 944-X.

Form 941 (sp), Form 943 (sp), and Form 944 (sp). If you prefer your form and instructions in Spanish, you can file Form 941 (sp), Form 943 (sp), or Form 944 (sp).

Qualified small business payroll tax credit for increasing research activities. For tax years beginning before 2023, a qualified small business may elect to claim up to $250,000 of its credit for increasing research activities as a payroll tax credit. The Inflation Reduction Act of 2022 (the IRA) increases the election amount to $500,000 for tax years beginning after 2022. The payroll tax credit election must be made on or before the due date of the originally filed income tax return (including extensions). The portion of the credit used against payroll taxes is allowed in the first calendar quarter beginning after the date that the qualified small business filed its income tax return. The election and determination of the credit amount that will be used against the employer's payroll taxes are made on Form 6765, Credit for Increasing Research Activities. The amount from Form 6765 must then be reported on Form 8974, Qualified Small Business Payroll Tax Credit for Increasing Research Activities.

Starting in the first quarter of 2023, the payroll tax credit is first used to reduce the employer share of social security tax up to $250,000 per quarter and any remaining credit reduces the employer share of Medicare tax for the quarter. Any remaining credit, after reducing the employer share of social security tax and the employer share of Medicare tax, is then carried forward to the next quarter. Form 8974 is used to determine the amount of the credit that can be used in the current quarter. The amount from Form 8974, line 12 or, if applicable, line 17, is reported on Form 941, Form 943, or Form 944. For more information about the payroll tax credit, go to *IRS.gov/ResearchPayrollTC*. Also see the line 16 instructions in the Instructions for Form 941 (line 17 instructions in the Instructions for Form 943, or line 13 instructions in the Instructions for Form 944) for information on reducing your record of tax liability for this credit.

Disaster tax relief. Disaster tax relief is available for those impacted by disasters. For more information about disaster tax relief, go to *IRS.gov/DisasterTaxRelief*.

2026 withholding tables. The Percentage Method and Wage Bracket Method withholding tables, the employer instructions on how to figure employee withholding, and the amount to add to a nonresident alien employee's wages for figuring federal income tax withholding are included in Pub. 15-T, available at *IRS.gov/Pub15T*.

Certification program for professional employer organizations (PEOs). The Stephen Beck, Jr., Achieving a Better Life Experience (ABLE) Act of 2014 required the IRS to establish a voluntary certification program for PEOs. PEOs handle various payroll administration and tax reporting responsibilities for their business clients and are typically paid a fee based on payroll costs. To become and remain certified under the certification program, certified professional employer organizations (CPEOs) must meet various requirements described in sections 3511 and 7705 and related published guidance. Certification as a CPEO may affect the employment tax liabilities of both the CPEO and its customers. A CPEO is generally treated for employment tax purposes as the employer of any individual who performs services for a customer of the CPEO and is covered by a contract described in section 7705(e)(2) between the CPEO and the customer (CPEO contract), but only for wages and other compensation paid to the individual by the CPEO. To become a CPEO, the organization must apply through the IRS Online Registration System. For more information or to apply to become a CPEO, go to *IRS.gov/CPEO*. Also see Revenue Procedure 2023-18, 2023-13 I.R.B. 605, available at *IRS.gov/irb/2023-13_IRB#REV-PROC-2023-18*.

Outsourcing payroll duties. Generally, as an employer, you're responsible to ensure that tax returns are filed and deposits and payments are made, even if you contract with a third party to perform these acts. You remain responsible if the third party fails to perform any required action. Before you choose to outsource any of your payroll and related tax duties (that is, withholding, reporting, and paying over social security, Medicare, FUTA, and federal income taxes) to a third-party payer, such as a payroll service provider or reporting agent, go to *IRS.gov/OutsourcingPayrollDuties* for helpful information on this topic. If a CPEO pays wages and other compensation to an individual performing services for you, and the services are covered by a CPEO contract, then the CPEO is generally treated as the employer, but only for wages and other compensation paid to the individual by the CPEO. However, with respect to certain employees covered by a CPEO contract, you may also be treated as an employer of the employees and, consequently, may also be liable for federal employment taxes imposed on wages and other compensation paid by the CPEO to such employees. For more information on the different types of third-party payer arrangements, see section 16.

Aggregate Form 941 or Form 943 filers. Approved section 3504 agents and CPEOs must complete Schedule R (Form 941), Allocation Schedule for Aggregate Form 941 Filers; or Schedule R (Form 943), Allocation Schedule for Aggregate Form 943 Filers, as applicable, when filing an aggregate Form 941 or Form 943. An aggregate quarterly Form 941 or annual Form 943 is filed by an agent approved by the IRS under section 3504 of the Internal Revenue Code. To request approval to act as an agent for an employer, the agent files Form 2678 with the IRS unless you're a state or local government agency acting as an agent under the special procedures provided in Revenue Procedure 2013-39, 2013-52 I.R.B. 830, available at *IRS.gov/irb/2013-52_IRB#RP-2013-39*. An aggregate quarterly Form 941 or annual Form 943 is also filed by CPEOs approved by the IRS under section 7705. To become a CPEO, the organization must apply through the IRS Online Registration System at *IRS.gov/CPEO*. CPEOs file Form 8973, Certified Professional Employer Organization/Customer Reporting Agreement, to notify the IRS that

they've started or ended a service contract with a client or customer. CPEOs must generally file Form 941 or Form 943 and the applicable Schedule R electronically. For more information about a CPEO's requirement to file electronically, see *Revenue Procedure 2023-18*.

Other third-party payers that file an aggregate quarterly Form 941 or annual Form 943, such as non-certified PEOs, must complete and file the applicable Schedule R if they have clients that are claiming any employment tax credit (for example, the qualified small business payroll tax credit for increasing research activities).

Aggregate Form 940 filers. Approved section 3504 agents and CPEOs must complete Schedule R (Form 940), Allocation Schedule for Aggregate Form 940 Filers, when filing an aggregate Form 940. Aggregate Forms 940 can be filed by agents acting on behalf of home care service recipients who receive home care services through a program administered by a federal, state, or local government. To request approval to act as an agent on behalf of home care service recipients, the agent files Form 2678 with the IRS unless you're a state or local government agency acting as an agent under the special procedures provided in *Revenue Procedure 2013-39*. Aggregate Forms 940 are also filed by CPEOs approved by the IRS under section 7705. CPEOs file Form 8973 to notify the IRS that they've started or ended a service contract with a client or customer. CPEOs must generally file Form 940 and Schedule R (Form 940) electronically. For more information about a CPEO's requirement to file electronically, see *Revenue Procedure 2023-18*.

Work opportunity tax credit for qualified tax-exempt organizations hiring qualified veterans. Qualified tax-exempt organizations that hire eligible unemployed veterans may be able to claim the work opportunity tax credit against their payroll tax liability using Form 5884-C. For more information, go to *IRS.gov/WOTC*.

Medicaid waiver payments. Notice 2014-7 provides that certain Medicaid waiver payments are excludable from income for federal income tax purposes. See Notice 2014-7, 2014-4 I.R.B. 445, available at *IRS.gov/irb/2014-04_IRB#NOT-2014-7*. For more information, including questions and answers related to Notice 2014-7, go to *IRS.gov/MedicaidWaiverPayments*.

No federal income tax withholding on disability payments for injuries incurred as a direct result of a terrorist attack directed against the United States. Disability payments for injuries incurred as a direct result of a terrorist attack directed against the United States (or its allies) aren't included in income. Because federal income tax withholding is only required when a payment is includible in income, no federal income tax should be withheld from these payments. See Pub. 907, Tax Highlights for Persons With Disabilities; and Pub. 3920, Tax Relief for Victims of Terrorist Attacks.

Voluntary withholding on dividends and other distributions by an Alaska Native Corporation (ANC). A shareholder of an ANC may request voluntary federal income tax withholding on dividends and other distributions paid by an ANC. A shareholder may request voluntary withholding by giving the ANC a completed Form W-4V. For more information, see Notice 2013-77, 2013-50 I.R.B. 632, available at *IRS.gov/irb/2013-50_IRB#NOT-2013-77*.

Definition of marriage. A marriage of two individuals is recognized for federal tax purposes if the marriage is recognized by the state or territory of the United States in which the marriage is entered into, regardless of legal residence. Two individuals who enter into a relationship that is denominated as marriage under the laws of a foreign jurisdiction or an American Indian tribe are recognized as married for federal tax purposes if the relationship would be recognized as marriage under the laws of at least one state or territory of the United States, regardless of legal residence. Individuals who have entered into a registered domestic partnership, civil union, or other similar relationship that isn't denominated as a marriage under the law of the state or territory of the United States where such relationship was entered into aren't lawfully married for federal tax purposes, regardless of legal residence.

Differential wage payments. Qualified differential wage payments made by employers to individuals serving in the U.S. Armed Forces are subject to federal income tax withholding but not social security, Medicare, or FUTA tax. See section 5 for more information.

Severance payments. Severance payments are wages subject to social security and Medicare taxes, federal income tax withholding, and FUTA tax.

You must receive written notice from the IRS to file Form 944. If you've been filing quarterly Forms 941 and believe your employment taxes for the calendar year will be $1,000 or less, and you would like to file an annual Form 944 instead of quarterly Forms 941, you must contact the IRS during the first calendar quarter of the tax year to request to file Form 944. You must receive written notice from the IRS to file Form 944 instead of quarterly Forms 941 before you may file this form. For more information on requesting to file Form 944, including the methods and deadlines for making a request, see the Instructions for Form 944.

Employers can request to file quarterly Forms 941 instead of an annual Form 944. If you received notice from the IRS to file Form 944 but would like to file quarterly Forms 941 instead, you must contact the IRS during the first calendar quarter of the tax year to request to file quarterly Forms 941. You must receive written notice from the IRS to file quarterly Forms 941 instead of Form 944 before you may file these forms. For more information on requesting to file quarterly Forms 941, including the methods and deadlines for making a request, see the Instructions for Form 944.

Correcting Form 941, Form 943, or Form 944. If you discover an error on a previously filed Form 941, make the correction using Form 941-X. If you discover an error on a previously filed Form 943, make the correction using Form 943-X. If you discover an error on a previously filed Form 944, make the correction using Form 944-X. Form 941-X, Form 943-X, and Form 944-X are filed separately from Form 941, Form 943, and Form 944. Form 941-X, Form 943-X, and Form 944-X are used by employers to claim refunds or abatements of employment taxes, rather than Form 843. See section 13 for more information.

Zero wage return. If you haven't filed a "final" Form 940 and "final" Form 941, Form 943, or Form 944, or aren't a "seasonal" employer (Form 941 only), you must continue to file a Form 940 and Forms 941, Form 943, or Form 944, even for periods during which you paid no wages. The IRS encourages you to file your "zero wage" Form 940 and Forms 941, Form 943, or Form 944 electronically. Go to *IRS.gov/EmploymentEfile* for more information on electronic filing.

Federal tax deposits must be made by electronic funds transfer (EFT). You must use EFT to make all federal tax deposits. An EFT can be made using the Electronic Federal Tax Payment System (EFTPS), IRS Direct Pay, or your IRS business tax account. If you don't want to use one of these methods, you can arrange for your tax professional, financial institution, payroll service, or other trusted third party to make electronic deposits on your behalf. Also, you may arrange for your financial institution to initiate a same-day wire payment on your behalf. EFTPS is a free service provided by the Department of the Treasury. Payments made using IRS Direct Pay or through your IRS business tax account are also free. Services provided by your tax professional, financial institution, payroll service, or other third party may have a fee.

For more information on making federal tax deposits, see *How To Deposit* in section 11. For more information about IRS Direct Pay, go to *IRS.gov/DirectPay*. For more information about making a payment through your IRS business tax account, go to *IRS.gov/BusinessAccount*. To get more information about EFTPS or to enroll in EFTPS, go to *EFTPS.gov* or call 800-555-4477, 800-244-4829 (Spanish), or 303-967-5916 (toll call). To contact EFTPS using Telecommunications Relay Services (TRS) for people who are deaf, hard of hearing, or have a speech disability, dial 711 and then provide the TRS assistant the 800-555-4477 number or 800-733-4829. Additional information about EFTPS is also available in Pub. 966.

Residents of the Philippines working in the Commonwealth of the Northern Mariana Islands (CNMI). Employers must withhold and pay social security and Medicare taxes on wages and other compensation paid to residents of the Philippines who don't hold an H-2 status for services performed as employees in the CNMI unless those workers are eligible for exemption from social security and Medicare taxes under an exception listed in section 15. For more information, see Announcement 2012-43, 2012-51 I.R.B. 723, available at *IRS.gov/irb/2012-51_IRB#ANN-2012-43*.

Federal employers in the CNMI. The U.S. Treasury Department and the CNMI Division of Revenue and Taxation entered into an agreement under 5 U.S.C. section 5517 in December 2006. Under this agreement, all federal employers (including the Department of Defense) are required to withhold CNMI income taxes (rather than federal income taxes) and deposit the CNMI taxes with the CNMI Treasury for employees who are subject to CNMI taxes and whose regular place of federal employment is in the CNMI. For more information, including details on completing Form W-2, go to *IRS.gov/5517Agreements*. Federal employers are also required to file quarterly and annual reports with the CNMI Division of Revenue and Taxation. For questions, contact the CNMI Division of Revenue and Taxation.

Pub. 5146 explains employment tax examinations and appeal rights. Pub. 5146 provides employers with information on how the IRS selects employment tax returns to be examined, what happens during an exam, and what options an employer has in responding to the results of an exam, including how to appeal the results. Pub. 5146 also includes information on worker classification issues and tip exams.

Electronic Filing and Payment

Businesses can enjoy the benefits of filing and paying their federal taxes electronically. Whether you rely on a tax professional or handle your own taxes, the IRS offers you convenient and secure programs to make filing and payment easier.

Spend less time worrying about taxes and more time running your business. Use *e-file* and electronic payment options to your benefit.

- For *e-file*, go to *IRS.gov/EmploymentEfile* for additional information. A fee may be charged to file electronically.
- For electronic payment options, go to *IRS.gov/Pay*.
- For electronic filing of Forms W-2, including Forms W-2AS, W-2CM, W-2GU, and W-2VI, and Forms 499R-2/W-2PR, go to *SSA.gov/employer*. You may be required to file Forms W-2 electronically. For details, see the General Instructions for Forms W-2 and W-3. If you experience problems filing electronically, contact the SSA at 800-772-6270. To speak with the SSA's Regional Employer Services Liaison Officer, go to the SSA's Regional Employer Services Liaison Officers website at *SSA.gov/employer/wage_reporting_specialists.htm*. The Regional Employer Services Liaison Officers are available to provide assistance with all questions about the SSA's payroll reporting processes and applications. Employers in the CNMI should contact their local tax department for instructions on completing Form W-2CM. You can get Form W-2CM and its instructions by going to *Finance.gov.mp/forms.php*, or by calling 670-664-1000. The SSA's Business Services Online (BSO) is an independent program from the Government of Puerto Rico electronic filing system. Employers in Puerto Rico must go to *Hacienda.pr.gov* for additional information.

Caution: If you're filing your tax return or paying your federal taxes electronically, a valid employer identification number (EIN) is required at the time the return is filed or the payment is made. If a valid EIN isn't provided, the return or payment won't be processed. This may result in penalties. See section 1 for information about applying for an EIN.

Electronic funds withdrawal (EFW). If you file your employment tax return electronically, you can *e-file* and use EFW to pay the balance due in a single step using tax

preparation software or through a tax professional. However, don't use EFW to make federal tax deposits. For more information on paying your taxes using EFW, go to *IRS.gov/EFW*.

Credit or debit card payments. You can pay the balance due shown on your employment tax return by credit or debit card. Your payment will be processed by a payment processor who will charge a processing fee. Don't use a credit or debit card to make federal tax deposits. For more information on paying your taxes with a credit or debit card, go to *IRS.gov/PayByCard*.

Online payment agreement. You may be eligible to apply for an installment agreement online if you can't pay the full amount of tax you owe when you file your employment tax return. For more information, see the instructions for your employment tax return or go to *IRS.gov/OPA*.

Forms in Spanish

Many forms and instructions discussed in this publication have Spanish-language versions available for employers and employees. Some examples include Form 941 (sp), Form 944 (sp), Form SS-4 (sp), Form W-4 (sp), and Form W-9 (sp). Although this publication doesn't reference Spanish-language forms and instructions in each instance that one is available, you can see Pub. 15 (sp) and go to *IRS.gov/SpanishForms* to determine if a Spanish-language version is available.

Hiring New Employees

Eligibility for employment. You must verify that each new employee is legally eligible to work in the United States, including American Samoa, Guam, the CNMI, the U.S. Virgin Islands (USVI), and Puerto Rico. This includes completing the U.S. Citizenship and Immigration Services (USCIS) Form I-9, Employment Eligibility Verification. You can get Form I-9 at *USCIS.gov/Forms*. For more information, go to *USCIS.gov/I-9-Central* or call 800-375-5283 or 800-767-1833 (TTY).

You may use the Social Security Number Verification Service (SSNVS) at *SSA.gov/employer/ssnv.htm* to verify that an employee name matches a social security number (SSN). A person may have a valid SSN but not be authorized to work in the United States. You may use E-Verify at *E-Verify.gov* to confirm the employment eligibility of newly hired employees.

New hire reporting. All 50 states, and most of the territories, have a new hire registry. You're required to report any new employee to a designated state new hire registry. A new employee is an employee who hasn't previously been employed by you or was previously employed by you but has been separated from such prior employment for at least 60 consecutive days.

Many states accept a copy of Form W-4 with employer information added. Go to the Office of Child Support Enforcement website at *acf.gov/css/employers* for more information. Employers in American Samoa, Guam, the CNMI, the USVI, and Puerto Rico should contact their local government for information on their new hire registry.

W-4 request. Ask each new employee to complete the 2026 Form W-4. See section 9.

Name and SSN. Record each new employee's name and SSN from their social security card if it is available. If an employee can't provide their social security card, you should verify their SSN and their eligibility for employment as discussed under *Verification of SSNs* in section 4. Any employee without a social security card should apply for one. See section 4.

Information Returns

You must file Forms W-2 to report wages paid to employees. You may also be required to file information returns to report certain types of payments made during the year. For example, you must file Form 1099-NEC, Nonemployee Compensation, to report payments of $600 or more made in 2025 ($2,000 or more for payments made in 2026) to persons not treated as employees (for example, independent contractors) for services performed for your trade or business. For details about filing Forms 1099 for payments made in 2025 and for information about required electronic filing, see the General Instructions for Certain Information Returns for general information (these general instructions will be replaced by new Pub. 1099 for payments made after 2025), and the separate, specific instructions for each information return you file (for example, the Instructions for Forms 1099-MISC and 1099-NEC). Generally, don't use Forms 1099 to report wages and other compensation you paid to employees; report these on Form W-2. See the General Instructions for Forms W-2 and W-3 for details about filing Form W-2 and for information about required electronic filing.

Technical Services Operation (TSO). The IRS operates the TSO to answer questions about reporting on Forms W-2, W-3, and 1099, and other information returns. If you have questions related to reporting on information returns, call 866-455-7438 (toll free), 304-263-8700 (toll call), or 304-579-4827 (TDD). The center can also be reached by email at *mccirp@irs.gov*. Don't include taxpayer identification numbers (TINs) or attachments in email because email isn't secure.

Federal Income Tax Withholding

Caution: References to federal income tax withholding don't apply to employers in American Samoa, Guam, the CNMI, the USVI, and Puerto Rico, unless you have employees who are subject to U.S. income tax withholding. Contact your local tax department for information about income tax withholding.

Withhold federal income tax from each wage payment or supplemental unemployment compensation plan

Employer Responsibilities

The following list provides a brief summary of your basic responsibilities. Because the individual circumstances for each employer can vary greatly, responsibilities for withholding, depositing, and reporting employment taxes can differ. Each item in this list has a page reference to a more detailed discussion in this publication.

	New employees:	Page
☐	Verify work eligibility of new employees	7
☐	Record employees' names and SSNs from social security cards	7
☐	Ask employees for Form W-4	7
	Each payday:	
☐	Withhold federal income tax based on each employee's Form W-4	25
☐	Withhold employee's share of social security and Medicare taxes	29
☐	Deposit: • Withheld federal income tax, • Withheld and employer social security taxes, and • Withheld and employer Medicare taxes **Note:** Due date of deposit generally depends on your deposit schedule (monthly or semiweekly).	31
	Quarterly (by April 30, July 31, October 31, and January 31):	
☐	Deposit FUTA tax if undeposited amount is over $500	44
☐	File Form 941 (pay tax with return if not required to deposit)	38

	Annually (see *Calendar* for due dates):	Page
☐	File Form 943 if required (pay tax with return if not required to deposit)	38
☐	File Form 944 if required (pay tax with return if not required to deposit)	38
☐	Remind employees to submit a new Form W-4 if they need to change their federal income tax withholding	25
☐	Ask for a new Form W-4 from employees claiming exemption from federal income tax withholding	27
☐	Reconcile Forms 941 (or Form 943 or Form 944) with Forms W-2 and W-3	39
☐	Furnish each employee a Form W-2	11
☐	File Copy A of Forms W-2 and the transmittal Form W-3 with the SSA	11
☐	Furnish each payee a Form 1099 (for example, Form 1099-NEC)	11
☐	File Forms 1099 and the transmittal Form 1096	11
☐	File Form 940	11
☐	File Form 945 for any nonpayroll income tax withholding	11

benefit payment according to the employee's Form W-4 and the correct withholding table in Pub. 15-T. Farm operators and crew leaders must withhold federal income tax from the wages of farmworkers if the wages are subject to social security and Medicare taxes. If you're paying supplemental wages to an employee, see section 7. If you have nonresident alien employees, see *Withholding federal income taxes on the wages of nonresident alien employees* in section 9.

See section 8 of Pub. 15-A for information about withholding on pensions (including distributions from tax-favored retirement plans), annuities, and individual retirement arrangements (IRAs).

Nonpayroll Federal Income Tax Withholding

Nonpayroll federal income tax withholding (reported on Forms 1099 and Form W-2G, Certain Gambling Winnings) must be reported on Form 945, Annual Return of Withheld Federal Income Tax. Separate deposits are required for payroll (Form 941, Form 943, or Form 944) and nonpayroll (Form 945) withholding. Nonpayroll items include the following.

- Pensions (including distributions from tax-favored retirement plans, for example, section 401(k), section 403(b), and governmental section 457(b) plans), annuities, and IRA distributions.
- Military retirement.
- Gambling winnings.
- Indian gaming profits.
- Certain government payments on which the recipient elected voluntary federal income tax withholding.
- Dividends and other distributions by an ANC on which the recipient elected voluntary federal income tax withholding.
- Payments subject to backup withholding.

For details on depositing and reporting nonpayroll federal income tax withholding, see the Instructions for Form 945.

Distributions from nonqualified pension plans and deferred compensation plans. Because distributions to participants from some nonqualified pension plans and deferred compensation plans (including section 457(b) plans of tax-exempt organizations) are treated as wages and are reported on Form W-2, federal income tax

withheld must be reported on Form 941, Form 943, or Form 944, not on Form 945. However, distributions from such plans to a beneficiary or estate of a deceased employee aren't wages and are reported on Forms 1099-R, Distributions From Pensions, Annuities, Retirement or Profit-Sharing Plans, IRAs, Insurance Contracts, etc.; federal income tax withheld must be reported on Form 945.

Backup withholding. You must generally withhold 24% of certain taxable payments if the payee fails to furnish you with their correct TIN. This withholding is referred to as "backup withholding."

Payments subject to backup withholding include interest, dividends, patronage dividends, rents, royalties, commissions, nonemployee compensation, payments made in settlement of payment card or third-party network transactions, and certain other payments you make in the course of your trade or business. In addition, transactions by brokers and barter exchanges and certain payments made by fishing boat operators are subject to backup withholding.

You can use Form W-9 to request payees to furnish their TINs. Form W-9 must be used when payees must certify that the number furnished is correct, or when payees must certify that they're not subject to backup withholding or are exempt from backup withholding. The Instructions for the Requester of Form W-9 include a list of types of payees who are exempt from backup withholding. For more information, see Pub. 1281, Backup Withholding for Missing and Incorrect Name/TIN(s).

Caution: Backup withholding doesn't apply to wages, pensions, annuities, IRAs (including simplified employee pension (SEP) and SIMPLE retirement plans), section 404(k) distributions from an employee stock ownership plan (ESOP), medical savings accounts (MSAs), health savings accounts (HSAs), long-term-care benefits, or real estate transactions.

Recordkeeping

Keep all records of employment taxes for at least 4 years. These should be available for IRS review. Your records should include the following information.

- Your EIN.
- Amounts and dates of all wage, annuity, and pension payments.
- Amounts of tips reported to you by your employees.
- Records of allocated tips.
- The fair market value (FMV) of in-kind wages paid.
- Names, addresses, SSNs, and occupations of employees and recipients.
- Any employee copies of Forms W-2 and W-2c returned to you as undeliverable.
- Dates of employment for each employee.
- Periods for which employees and recipients were paid while absent due to sickness or injury and the amount and weekly rate of payments you or third-party payers made to them.
- Copies of employees' and recipients' federal income tax withholding certificates (Forms W-4, W-4P, W-4R, W-4S, and W-4V).
- Dates and amounts of tax deposits you made and acknowledgment numbers for deposits made by EFTPS.
- Copies of returns filed and confirmation numbers.
- Records of fringe benefits and expense reimbursements provided to your employees, including substantiation.
- Documentation to substantiate any credits claimed. Records related to qualified sick leave wages and qualified family leave wages for leave taken after March 31, 2021, and before October 1, 2021, should be kept for at least 6 years. For more information on substantiation requirements, go to *IRS.gov/PLC*. Records related to qualified wages for the COVID-19 related employee retention credit paid after June 30, 2021, should be kept for at least 7 years. For more information on substantiation requirements, go to *IRS.gov/ERC*.

If a crew leader furnished you with farmworkers, you must keep a record of the name, permanent mailing address, and EIN of the crew leader. If the crew leader has no permanent mailing address, record their present address.

Change of Business Name

Notify the IRS immediately if you change your business name. Write to the IRS office where you file your returns, using the *Without a payment* address provided in the instructions for your employment tax return, to notify the IRS of any business name change. See Pub. 1635 to see if you need to apply for a new EIN.

Change of Business Address or Responsible Party

Notify the IRS immediately if you change your business address or responsible party. Complete and mail Form 8822-B to notify the IRS of a business address or responsible party change. For a definition of "responsible party," see the Instructions for Form SS-4.

Filing Addresses

Generally, your filing address for Form 940, Form 941, Form 943, Form 944, Form 945, or Form CT-1 depends on the location of your residence or principal place of business and whether or not you're including a payment with your return. There are separate filing addresses for

these returns if you're a tax-exempt organization or government entity. See the separate instructions for Form 940, Form 941, Form 943, Form 944, Form 945, or Form CT-1 for the filing addresses.

Private Delivery Services (PDSs)

You can use certain PDSs designated by the IRS to meet the "timely mailing as timely filing" rule for tax returns. Go to *IRS.gov/PDS* for the current list of PDSs.

The PDS can tell you how to get written proof of the mailing date.

For the IRS mailing address to use if you're using a PDS, go to *IRS.gov/PDSstreetAddresses*. Select the mailing address listed on the webpage that is in the same state as the address to which you would mail returns filed without a payment, as shown in the instructions for your employment tax return.

PDSs can't deliver items to P.O. boxes. You must use the U.S. Postal Service (USPS) to mail any item to an IRS P.O. box address.

Dishonored Payments

Any form of payment that is dishonored and returned from a financial institution is subject to a penalty. The penalty is $25 or 2% of the payment, whichever is more. However, the penalty on dishonored payments of $24.99 or less is an amount equal to the payment. For example, a dishonored payment of $18 is charged a penalty of $18.

E-News for Payroll Professionals

The IRS has a subscription-based email service for payroll professionals. Subscribers will receive periodic updates from the IRS. The updates may include information regarding recent legislative changes affecting federal payroll reporting, IRS news releases and special announcements pertaining to the payroll industry, new employment tax procedures, and other information specifically affecting federal payroll tax returns. To subscribe, go to *IRS.gov/Newsroom/E-News-Subscriptions*.

Telephone Help

Tax questions. You can call the IRS Business and Specialty Tax Line with your employment tax questions at 800-829-4933.

Help for people with disabilities. You may call 800-829-4059 (TDD/TTY for persons who are deaf, hard of hearing, or have a speech disability) with any employment tax questions. You may also use this number for assistance with unresolved tax problems.

Additional information. Go to *IRS.gov/EmploymentTaxes* for additional employment tax information. For general tax information relevant to agricultural employers, go to *IRS.gov/AgricultureTaxCenter*. For information about employer responsibilities under the Affordable Care Act, go to *IRS.gov/ACA*.

Ordering Employer Tax Forms, Instructions, and Publications

You can view, download, or print most of the forms, instructions, and publications you may need at *IRS.gov/Forms*. Otherwise, you can go to *IRS.gov/OrderForms* to place an order and have them mailed to you. The IRS will process your order as soon as possible. Don't resubmit requests you've already sent us. You can get forms, instructions, and publications faster online.

Instead of ordering paper Forms W-2 and W-3, consider filing them electronically using the SSA's free *e-file* service. Go to the SSA's Employer W-2 Filing Instructions & Information webpage at *SSA.gov/employer* to learn more about BSO. You'll be able to create Forms W-2 online and submit them to the SSA by typing your wage information into easy-to-use fill-in fields. In addition, you can print out completed copies of Forms W-2 to file with state or local governments, distribute to your employees, and keep for your records. Form W-3 will be created for you based on your Forms W-2.

The SSA's BSO is an independent program from the Government of Puerto Rico electronic filing system. Employers in Puerto Rico must go to *Hacienda.pr.gov* for additional information.

Photographs of Missing Children

The IRS is a proud partner with the *National Center for Missing & Exploited Children® (NCMEC)*. Photographs of missing children selected by the Center may appear in this publication on pages that would otherwise be blank. You can help bring these children home by looking at the photographs and calling 1-800-THE-LOST (1-800-843-5678) if you recognize a child.

Calendar

The following is a list of important dates and responsibilities. The dates listed here haven't been adjusted for Saturdays, Sundays, and legal holidays. Pub. 509, Tax Calendars (for use in 2026), adjusts the dates for Saturdays, Sundays, and legal holidays. See section 11 for information about depositing taxes reported on Form 941, Form 943, Form 944, and Form 945. See section 14